

In 1977, the CFTC studied hedging. This may have been a tactical error. After polling the farmers, the agency discovered that farmers don't normally hedge—a troublesome result, as I've said. To make up for this, the study pointed out that 30 percent of farmers with more than \$10,000 in annual gross sales follow futures prices as a business barometer—which at least made futures good for something. Later, the CFTC redefined hedging and made a distinction between regular hedging and “bonafide hedging.” I've read this over many times and still don't understand it.

In 1976, the CFTC staff pursued the Hunt brothers of Texas for violating the speculative-position limit for soybean contracts. That the Hunts made trouble for soybeans before they made trouble for silver is a little-known fact. The CFTC forced the Hunts to pay a \$500,000 fine and banned them from trading soybeans for two years—though the agency relented a bit in the case of Nelson Hunt and allowed him to continue to engage in bonafide hedging. Perhaps the soybean ban drove the Hunt brothers into silver.

A year later, the CFTC turned its attention to problems with the London commodity options. Hordes of unsavory operators apparently had showed up there. One of the most unsavory, according to the booklet, was Mr. James Carr. Apparently Mr. Carr sold options without proper registration, though it was hard to tell since he hadn't bothered to keep any records. He was arrested in Boston. Five days later, the FBI announced that Mr. Carr wasn't Carr at all, but an escaped felon named Alan Abrahams who'd used several other aliases.

By 1978, William Bagley, the original CFTC chairman, resigned. He commented that everything was now running smoothly after the understandable start-up problems.

In 1979 there was trouble with March wheat for the same old reason. The wheat in the futures contracts exceeded the known deliverable supply. There were similar emergencies in potatoes, cocoa, and coffee. The CFTC acted once again to stop the illegal selling of options, continued to aid the prosecution in cases of corn, wheat, and potato manipulation, and filed new charges against the coffee manipulators. With the grain embargo in 1980 came the usual kind of trouble.

Since then, there had been several fresh attempts to license the